(1) some NOT full control due to competition - will lose customer base if they drastically increase it

(2) anyone can start
e.g. starting coffee / restaurants

CHAPTER 14 * how to survive in such markets to profit & maintain customer → so marketing and product quality is a crucial factor ↑ to survive & attract

Monopolistic Competition

ECON101 - Prince Sultan University

→ not identical/close substitutes
imperfect substitutes e.g water, abaya, coffee brands → subtle changes in their offerings and prices

e.g. local abayas is the most common

different apartments under same category e.g. Housing

in between perfect + close substitute

OVERVIEW

Learning objectives

Most of the shops and services we use every day sit between the two extremes studied so far. They face plenty of rivals, like firms in perfect competition, yet each one has some control over its own price, like a monopoly. This chapter looks at this market structure.

1. Define monopolistic competition and identify its features.
2. Explain how a firm in monopolistic competition chooses its output and price in the short run, and whether it makes an economic profit or an economic loss.
3. Compare perfect competition, monopoly and monopolistic competition.

Running example: Bunn Café, a fictional specialty coffee shop in Riyadh, one of hundreds of cafés in the city.

Monopolistic competition

Monopolistic competition is a market structure in which:

- a large number of firms compete;
- each firm produces a differentiated product;
- firms compete on product quality, price and marketing;
- firms are free to enter and exit the industry.

Few real markets are perfectly competitive. In most of them, competition is strong, but each firm still has **some power over the price** of what it sells. In Saudi Arabia, examples include:

↓ due to intense competition

- cafés, restaurants and bakeries in every city;
- abaya and perfume shops, barbers and beauty salons;
- phone-accessory shops, car-repair workshops and tailors.

A large number of firms

Bunn Café is one of hundreds of cafés in Riyadh. Having so many firms in one market has three consequences:

Small market share

Each firm sells only a small part of the market's total output.

So its power over its own price is **limited**: its price cannot move far from the average price that other firms charge.

Rivals ignored

A firm keeps an eye on the average price in the market, but it does **not react to any single competitor**.

Every firm is small, so what one café does has no direct effect on the choices of the others.

Collusion impossible

Firms would earn more if they agreed to charge a higher price together, which is called **collusion**.

With so many firms, such an agreement is too hard to organize, so collusion cannot happen.

Product differentiation

A firm practices **product differentiation** when it makes a product that is slightly different from the products of competing firms. A differentiated product is a **close substitute** for its rivals' products, but **not a perfect substitute**.

Bunn Café's coffee differs a little from that of other cafés: the beans, the recipe, the location and the service. Some buyers prefer it and will pay a bit more for it.

If Bunn Café raises its price while other cafés keep theirs, some customers switch to rivals and it sells **fewer cups**. Loyal customers stay, so its sales do **not fall to zero** unless it raises its price by a lot.

Other examples

- Abayas: fabric, cut and embroidery.
- Restaurants: menu, taste and location.
- Barbers: skill, style and waiting time.

So the demand curve for each firm's product slopes downward. In perfect competition, by contrast, a firm that asks more than the market price sells nothing.

WHAT IS MONOPOLISTIC COMPETITION?

Competing on quality, price and marketing

Because products differ, a firm can compete with its rivals in three ways:

Quality

The features that set a product apart: its **design**, its **reliability**, the **service** buyers receive and how **easy it is to reach**.

A café can buy better beans, train its baristas or add a drive-through window.

Price

The firm faces a downward-sloping demand curve, so, like a monopoly, it **chooses its price** and its output.

Quality and price go together: a firm that makes a better product can charge more, so it **chooses between** higher quality at a higher price and lower quality at a lower price.

Marketing

Each firm must market its own product, mainly through **advertising** and **packaging**.

A high-quality firm uses them to show buyers that its product is worth the higher price; a low-quality firm uses them to show that its low price makes up for the lower quality.

Entry and exit

→ no restrictions on entry and exit

Nothing stops a new firm from opening: anyone with the money can rent a shop and start a café. With **free entry and exit**, an economic profit or an economic loss **cannot last in the long run**.

Economic profit attracts entry

When cafés earn an economic profit, new cafés open. Each existing café loses some customers to them, so the demand for its coffee decreases, its price falls, and its profit shrinks until it is gone.

Economic loss leads to exit

When cafés make an economic loss, some close in the long run. The cafés that stay gain their customers, so the demand for each one's coffee increases, its price rises, and the loss shrinks until it is gone.

Entry and exit stop only when firms make zero economic profit: they then earn normal profit.

(break-even)

Running example: Bunn Café

Bunn Café, Riyadh

- A specialty coffee shop among hundreds of cafés in the city; quality and marketing already chosen.
- Marginal cost rises with output. Average total cost is U-shaped: it falls, then rises, and is **lowest at 100 cups**, at **12 SAR** a cup.
- Its demand curve shows how many cups buyers want at each price it might charge, **given the prices of other cafés**. It is not the demand for coffee in all of Riyadh.

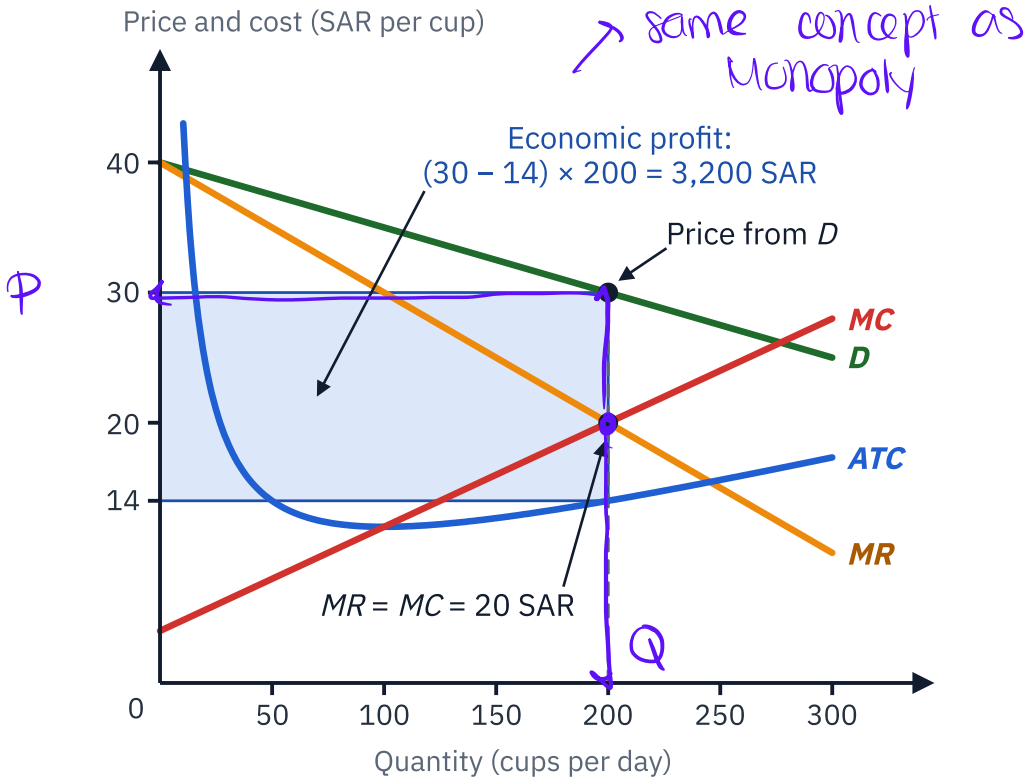
The short-run decision

In the short run, the café chooses output and price **just as a single-price monopoly does**:

1. **Output:** produce the quantity at which ***MR = MC***.
2. **Price:** charge the highest price buyers will pay for that quantity, read from the **demand curve**.

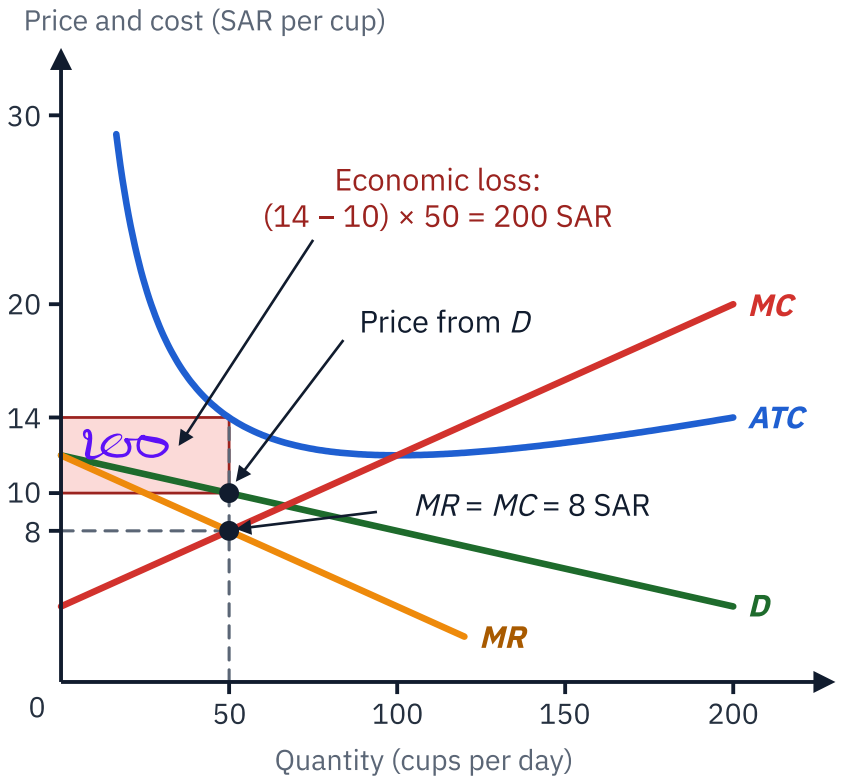
The *MR* curve lies below the demand curve: to sell one more cup, the café must lower the price of every cup it sells.

Economic profit in the short run



- **Busy season** (the cooler months): many customers, so demand *D* is high.
- *MR* = *MC* at **200 cups** a day, where both equal 20 SAR.
- For 200 cups, buyers will pay up to **30 SAR** a cup (on *D*).
- *ATC* at 200 cups is 14 SAR. *P* > *ATC*, so each cup earns 16 SAR more than it costs on average.
- **Blue rectangle:** economic profit = (30 – 14) × 200 = **3,200 SAR** a day.

Economic loss in the short run



when ATC > D it is a loss

- **Slow season** (summer): many regular customers travel, so demand *D* is much lower.
- *MR* = *MC* at **50 cups** a day, where both equal 8 SAR. The price from *D* is **10 SAR**.
- *ATC* at 50 cups is 14 SAR, the same as at 200 cups: the two outputs sit on either side of the lowest point of the U. *P* < *ATC*, so each cup loses 4 SAR on average.
- **Red rectangle:** economic loss = (14 – 10) × 50 = **200 SAR** a day.
- *D* lies below *ATC* at every output, so no output avoids a loss. Producing where *MR* = *MC* keeps the loss as small as possible.

Profit or loss? Reading the graphs

Season	Output where *MR* = *MC*	Price (from *D*)	*ATC* at that output	*P* − *ATC* per cup	Total per day
Busy	200 cups	30 SAR	14 SAR	+16 SAR	Profit: 3,200 SAR
Slow	50 cups	10 SAR	14 SAR	−4 SAR	Loss: 200 SAR

e.g. winter abayas – no one buys it during summer seasons – but at the expense of high price adjustment

Four steps

1. Find the output where the *MR* curve cuts the *MC* curve.
2. Go up to the demand curve to read the price.
3. Read *ATC* at that same output.
4. Profit or loss = (*P* − *ATC*) × *Q*.

The rule

- *P* > *ATC*: economic profit.
- *P* = *ATC*: break even (normal profit).
- *P* < *ATC*: economic loss.

These are short-run outcomes. In the long run, entry wipes out an economic profit and exit wipes out an economic loss.

COMPARING MARKET STRUCTURES

Three market structures

	Perfect competition	Monopoly	Monopolistic competition
Number of firms	Many	One	Many
Product	Identical	No close substitutes	Differentiated
Barriers to entry	None	Natural, ownership or legal	None
Firm's demand curve	Horizontal at the market price	The market demand curve	Slopes downward
Price and *MR*	$P = MR$	$P > MR$	$P > MR$
Output rule	$MR = MC$	$MR = MC$	$MR = MC$
Short run	Profit, break even or loss	Profit, break even or loss	Profit, break even or loss
Can economic profit last?	No: entry removes it	Yes: barriers block entry	No: entry removes it
Example	Date farms	A town's only water supplier	Cafés, abaya shops

SUMMARY

Key takeaways

- In **monopolistic competition**, many firms sell differentiated products, compete on quality, price and marketing, and are free to enter and exit.
- Each product is a close but not perfect substitute for its rivals', so each firm faces a **downward-sloping demand curve** and has some control over its price.
- In the short run, the firm acts like a single-price monopoly: it produces where ***MR* = *MC*** and charges the highest price its demand curve allows for that output.
- Comparing *P* with *ATC* at that output shows the result: Bunn Café makes a profit of 3,200 SAR a day in the busy season and a loss of 200 SAR a day in summer.
- With free entry and exit, economic profit attracts new firms and economic loss drives some out, so neither lasts in the long run.

SOURCE

Source

Michael Parkin (2022) *Microeconomics, Global Edition*, 14th Edition, published by Pearson Education.

* TR & TC → Perfect competition and Monopoly

* MR & MC → Monopoly and Monopolistic